INTERNATIONAL MONETARY FUND

CÔTE D'IVOIRE

November 14, 2023

FIRST REVIEWS UNDER THE EXTENDED ARRANGEMENT UNDER THE EXTENDED FUND FACILITY AND ARRANGEMENT UNDER THE EXTENDED CREDIT FACILITY —DEBT SUSTAINABILITY ANALYSIS UPDATE

Approved By
Montfort Mlachila, Boileau Loko (IMF), and Abebe Adugna Dadi and Manuela Francisco (IDA)

Prepared by the International Monetary Fund and the International Development Association

Côte d'Ivoire: Joint Bank-Fund Debt Sustainability Analysis	
Risk of external debt distress	Moderate
Overall risk of debt distress	Moderate
Granularity in the risk rating	Limited space to absorb shocks
Application of judgement	Yes

Côte d'Ivoire's overall and external public debt remain at moderate risk of debt distress, unchanged from the last DSA (May 2023 ECF and EFF arrangements request). The baseline of the external debt service-to-revenue indicator still breaches the threshold twice, in 2024 and 2025, and remains below the threshold during the remainder of the projection period.[1] *As with the 2023 May DSA, all indicators except the PV of external debt-to-GDP are susceptible to a number of stress scenarios, the most extreme of which involves a shock to exports. The PV of overall debt-to-GDP ratio is below its threshold, but exceeds it in a commodity price shock. The significance of the breaches in debt burden metrics is mitigated by their limited number, Côte d'Ivoire's history of successful implementation of reforms under the past two Fund arrangements and a satisfactory start of the current arrangement, and the country's strong track record of market access, sustained active debt management, and moderate risk signal from the market financing pressures tool. The space to absorb shocks remains limited.*

[1]Under the revised Debt Sustainability Framework for Low-Income Countries, Côte d'Ivoire's Composite Indicator (CI) is 2.9 based on the April 2023 WEO and the 2021 CPIA, corresponding to a final medium debt carrying capacity.

1. The public debt coverage and debt background remains unchanged compared to the last DSA.[2] Public debt covers both the debt of the central government, the central bank, and the guarantees provided by the central government, including those guarantees that pertain to state owned enterprises debt. The government is committed to pursue efforts to increase the government capacity to record and monitor public det and contingent liabilities. The magnitude of the shock in the contingent liability stress test applied in the sensitivity analysis reflects potential additional liabilities similar to the last DSA. The public debt keeps on increasing with a growing share of external debt, especially commercial creditors.

Text Table 1. Côte d'Ivoire: Debt Coverage

	Subsectors of the public sector	Check box
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	X
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	

2. The latest macro-economic developments show a softening of the economic rebound, in line with the last DSA, reflecting the adverse spillovers from the Russia's war in Ukraine and the global financial tightening. Real output growth projected at 6.4 percent in 2023, compared to 6.7 percent in 2022, supported by strong industrial and tertiary activities but a mixed agricultural outcome in part due to adverse weather. Inflation remains mainly fueled by food prices and is expected to soften to 4.7 percent by the end of the year from 5.2 percent in 2022. The current account balance is showing improvement due to sizeable terms of trade gains, notably from rising cocoa prices, mostly reversing unfavorable price shifts in 2022. These more favorable prices are expected to last over the long-term. Similarly, regional official reserves which continued to decline so far in 2023 with a sizable contribution from Côte d'Ivoire are expected to gradually recover over the medium-term. Global financing conditions remain tight, but the euro is projected to appreciate vis-à-vis the US dollar. Debt financing has shifted to shorter term debt issuance during the first half of the year at slightly higher interest rates overall. Performance under the EFF/ECF arrangement has been satisfactory so far and fiscal performance is on track to reach the end-2023 target.

3. Risks continue to be tilted to the downside, especially in case of sustained adverse external financing conditions, a further decline in regional FX reserves, and increased instability in the region which could add spending pressure and weigh on investors' confidence. On the upside, global inflation pressures could subside faster than anticipated, leading to more favorable financing conditions and facilitating an earlier return to the eurobond market. Moreover, the discovery of important oil and gas reserves could provide an additional boost to growth prospects. Liabilities stress test assumptions remain the same as the last DSA.

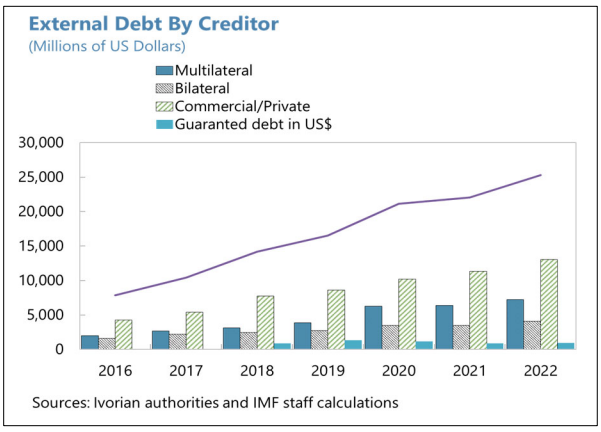
[2]EBS/23/50 Supplement 1.

Text Table 2. Côte d'Ivoire: Magnitude of the Contingent Liabilities Stress Test

1	The country's coverage of public debt	The central government plus social security, central bank, government-guaranteed debt		
		Default	Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0 percent of GDP	0	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	2	
4	PPP	35 percent of PPP stock	2.30	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	5	
	Total (2+3+4+5) (in percent of GDP)		9.3	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

4. The Ivorian public and external debt stock as of end-2022 remain unchanged compared to the last DSA and the pace of disbursement as of June 2023 stays in line with the end-year projections according to preliminary data. Public and external debt stocks equal 56.8 and 34.5 percent of GDP, respectively, as of end-2022. Projections for end-2023 are slightly lower than in the last DSA due to exchange rate appreciation at 57.8 and 34.9 percent of GDP, vs. 58.1 and 35.6 percent of GDP respectively. Shorter maturities and higher interest characterized the issuances of domestic debt for the first half of end-2023. The external debt composition remains dominated by commercial creditors followed by multilateral creditors.



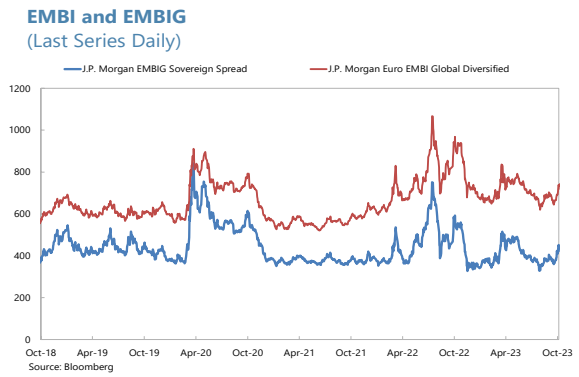
Text Table 3. Côte d'Ivoire: Changes in Economic Assumptions

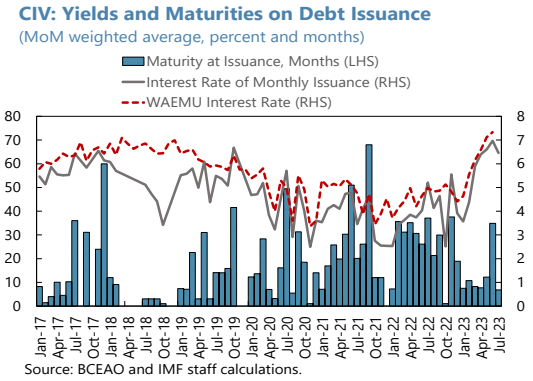
	Previous DSA			Current DSA		
	2023-2028	2029-2033	2034-2042	2023-2028	2029-2033	2034-2042
Nominal GDP (USD Billion)	93.9	141.2	242.0	99.0	151.4	259.4
Real GDP (y/y % change)	6.4	5.9	5.6	6.3	5.9	5.6
	(Percent of GDP unless otherwise noted)					
Fiscal (Central Government)						
Revenue and grants	17.4	18.7	19.2	17.4	18.7	19.2
of which grants	0.4	0.2	0.1	0.4	0.2	0.1
Primary expenditure	18.8 1/	18.5	19.3	18.7	18.5	19.3
Primary balance	-1.4	0.3	-0.1	-1.2	0.2	-0.1
Balance of Payments						
Exports of goods and services	22.7	21.4	18.8	23.0	21.6	19.0
Imports of goods and services	19.3	18.0	16.9	18.4	16.2	14.4
Non-interest current account balance	-2.9	-2.7	-4.1	-2.5	-2.0	-2.9
Current account balance	-4.0	-3.5	-4.8	-3.7	-2.9	-3.6
Foreign direct investment (net inflows)	2.0	2.3	2.7	2.0	2.3	2.7

Sources: Ivorian authorities, World Bank and IMF staff estimates and projections.

1/ Corrected value for IMF Country Report No 23/204

Côte d'Ivoire: Selected Debt Indicators





5. Côte d'Ivoire's debt-carrying capacity remains assessed as medium. Based on the April 2023 WEO macroeconomic framework and the World Bank's 2021 CPIA index, Côte d'Ivoire composite indicator is 2.9 (above the cut-off of 2.69 but below the strong capacity cut-off value of 3.05) maintaining the medium debt carrying capacity assessment used in the previous DSA. The authorities continue to improve debt management. They adopted the law on national debt policy in September 2023 which offers a comprehensive legislative and institutional framework and they are revamping the debt department into *Direction Générale des Financements* to optimize the mobilization and management of financing resources. The authorities continue to actively manage their portfolio including by evaluating liabilities management operations possibilities.

Text Table 4. Côte d'Ivoire: CI Score

Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintage
Medium	Medium 2.90	Medium 2.94	Medium 2.96

APPLICABLE	
EXTERNAL debt burden thresholds	
PV of debt in % of	
Exports	180
GDP	40
Debt service in % of	
Exports	15
Revenue	18

APPLICABLE	
TOTAL public debt benchmark	
PV of total public debt in percent of GDP	55

6. Debt service and undisbursed debt projections are broadly similar to projections at the time of the program request. The debt service projections combine two effects that are broadly offsetting: a lower debt service due to the CFAF vs. US dollar exchange rate appreciation and the

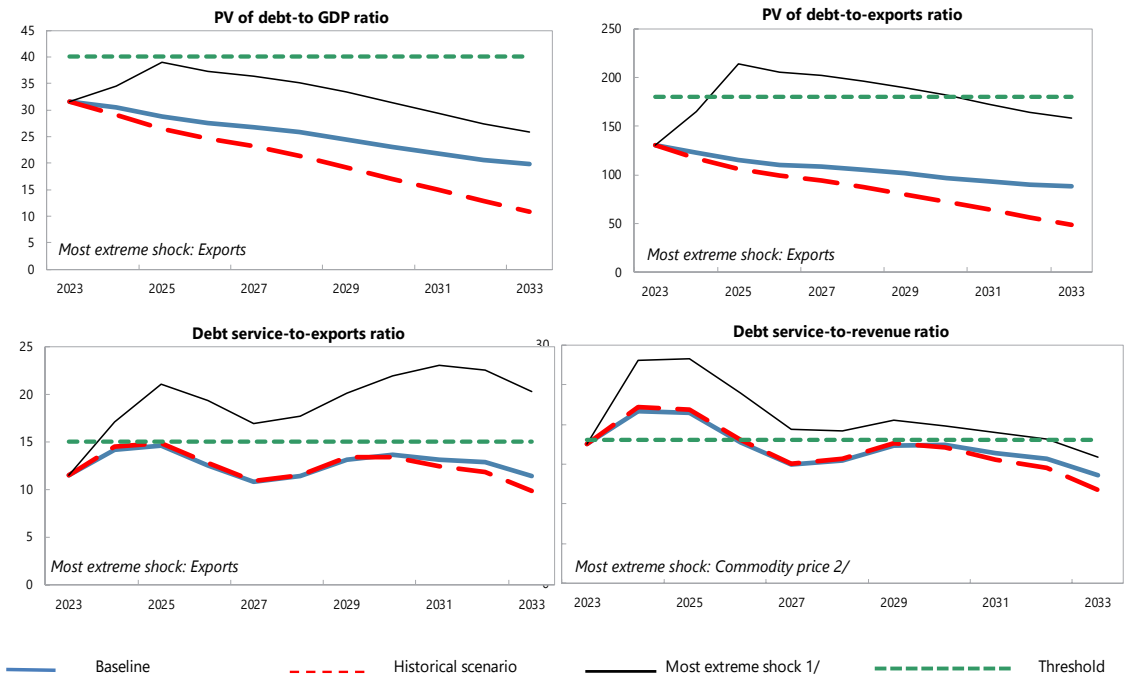
slightly higher interest rate on domestic debt, on average about 0.2 ppt over the May 2023 DSA projections, as well as shorter maturities on bonds issued during the first six months of 2023. The issuance of bonds at maturities of less than two years represented over 50 percent of total issuance from January to June 2023 against 20 percent for the last DSA. After an increase of projected average interest rate in 2023 and 2024 reflecting higher prevailing market interest rates than in the last DSA, the interest rates are projected to moderate, and maturities are expected to lengthen over the medium-term which would allow the authorities to stick to their medium-term debt strategy and favor domestic debt over external debt.

7. Côte d'Ivoire's rating of external debt distress remains moderate when judgement is applied. Under the baseline scenario, the external debt service to revenue ratio still breaches the threshold twice in 2024 and 2025 before returning below the threshold for the rest of the projections period. This underscores the criticality of improving domestic revenue mobilization to respond to the country's development needs. Under the most extreme shock, the exports shock scenario, the debt service-to-exports ratio, as well as the PV of debt to export ratio breach their respective thresholds, emphasizing the dependence of the country on its narrow exports base and the need to diversify its economy. Using a holistic approach based on judgement, the country's moderate risk of debt distress rating continues to be warranted by the Côte d'Ivoire's limited number of breaches, its history of successful implementation of reforms under the past two Fund arrangements and a satisfactory start of the current arrangement, its strong track record of market access, sustained active debt management, and moderate risk signal from the market financing pressures tool. The EMBI spread decreased from the last DSA from 756 to 674 bps as of November 3, 2023. The country maintains market access and debt service indicators are similar to the previous DSA.

8. The overall debt distress also remains moderate. Under the baseline, the PV of public debt-to-GDP ratio stays below the 55 percent threshold, but the ratio breaches the threshold under the most extreme shock, the commodity price, in 2024 and stays above during the rest of the projections' period. The result reflects the vulnerability of Côte d'Ivoire to price fluctuation, especially with the country's dependance on cocoa exports representing more than one third of exports, and stresses once again the importance of promoting further export diversification. The country has limited space to absorb shocks.

9. The authorities agreed that Côte d'Ivoire remains at moderate risk of overall and external debt distress. The authorities are strongly committed to keeping the country at moderate risk of debt distress. They are aware of the fragility of the external debt service to revenue ratio as it breaches twice the threshold in 2024 and 2025 leaving limited margin to absorb shocks. They had a more favorable near-term outlook for reserves noting seasonal patterns. They are committed to continue managing actively their debt portfolio and monitoring closely the concessionality of new contracts and the pace of disbursements to remain in the same debt distress category and are strongly committed to the policies and targets under the ECF/EFF program, in particular for increasing domestic revenue mobilization.

Figure 1. Côte d'Ivoire: Indicators of Public and Publicly Guaranteed External Debt Under Alternative Scenarios, 2023–33[1/]



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	No	
Natural disaster	n.a.	n.a.
Commodity price	No	No
Market financing	No	No

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	3.3%	3.3%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	18	18
Avg. grace period	5	5

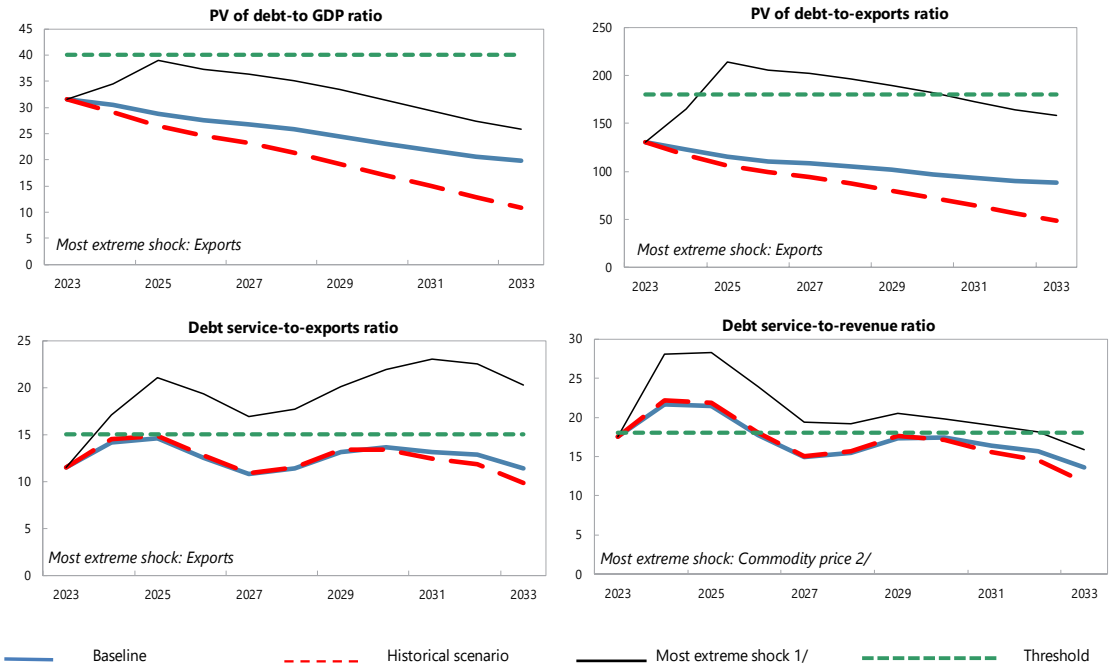
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Côte d'Ivoire: Indicators of Public Debt Under Alternative Scenarios, 2023–33



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	No	
Natural disaster	n.a.	n.a.
Commodity price	No	No
Market financing	No	No

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	3.3%	3.3%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	18	18
Avg. grace period	5	5

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

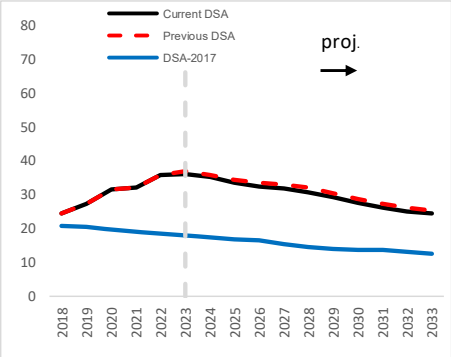
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

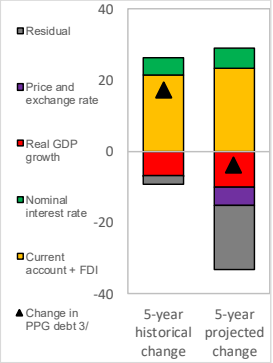
2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 3. Côte d'Ivoire: Drivers of Debt Dynamics – Baseline Scenario

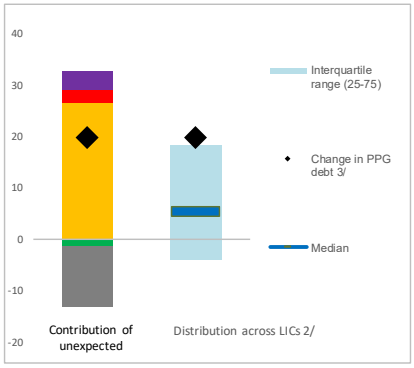
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(Percent of GDP)

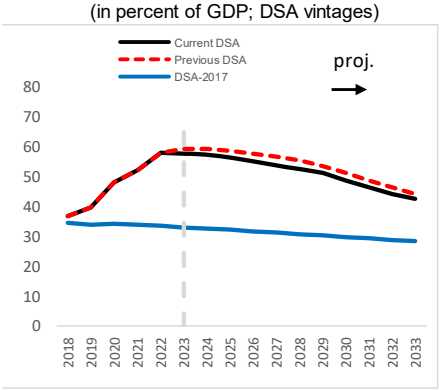


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

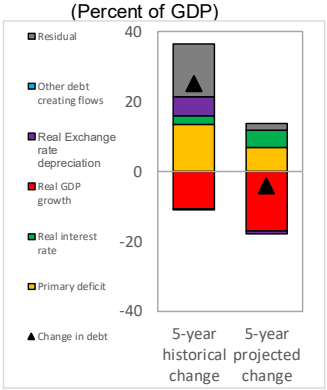


Public debt

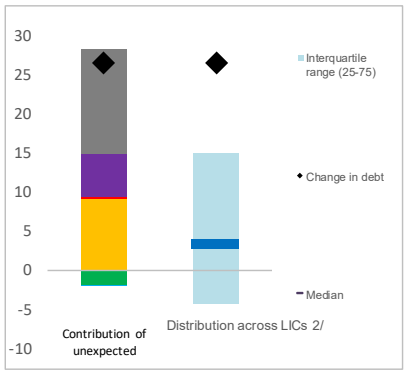
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(Percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



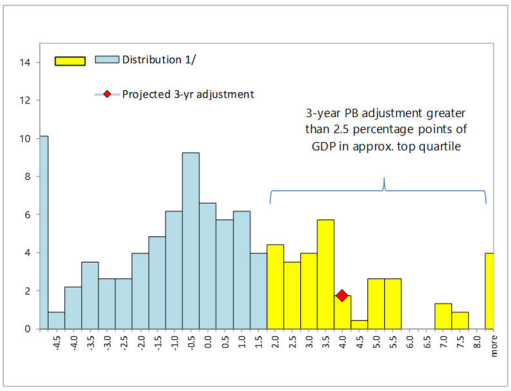
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

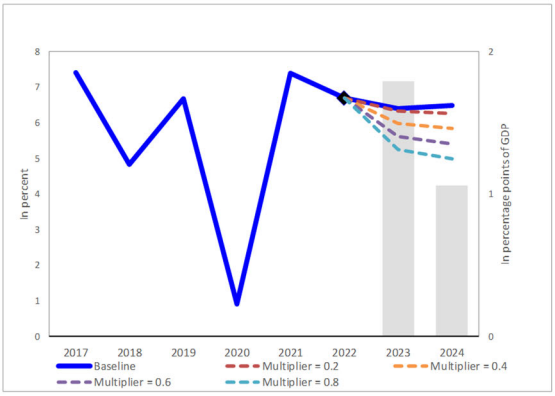
Figure 4. Côte d'Ivoire: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



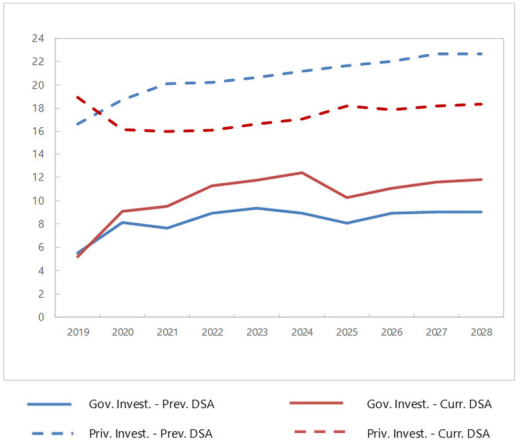
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(Percent of GDP)



Contribution to Real GDP growth
(Percent, 5-year average)

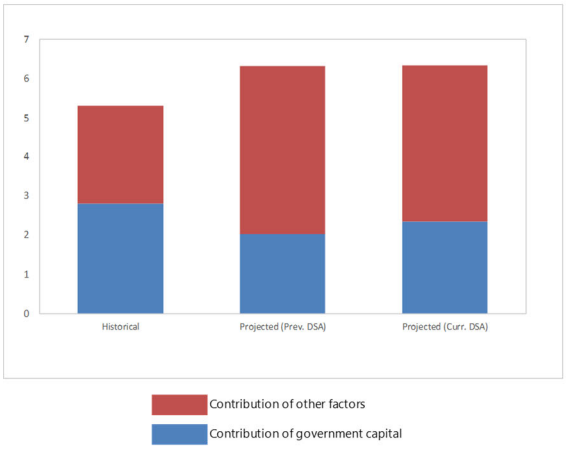


Figure 5. Côte d'Ivoire: Qualification of the Moderate Category, 2023-33[1/]

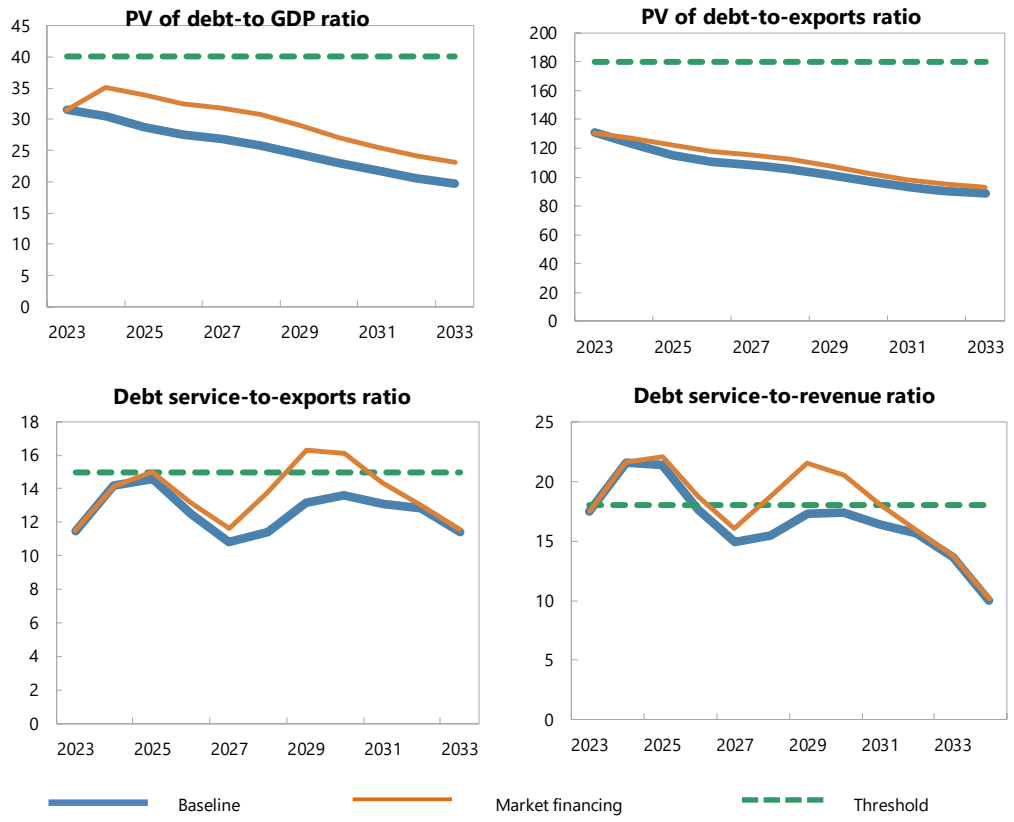
Sources: Country authorities; and staff estimates and projections.

1/ For the PV debt/GDP and PV debt/exports thresholds, x is 20 percent and y is 40 percent. For debt service/Exports and debt service/revenue thresholds, x is 12 percent and y is 35 percent.

Figure 6. Côte d'Ivoire: Market-Financing Risk Indicators

	GFN 1/	EMBI 2/
Benchmarks	14	570
Values	10	674
Breach of benchmark	No	Yes
Potential heightened liquidity needs	Moderate	

1/ Maximum gross financing needs (GFN) over 3-year baseline projection horizon.
2/ EMBI spreads correspond to the latest available data.



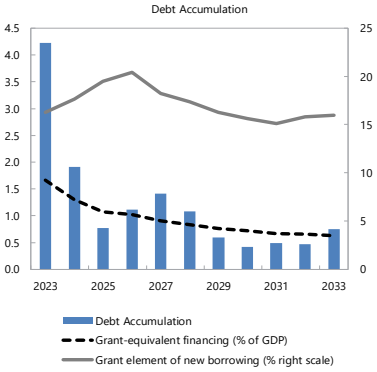
Sources: Country authorities; and staff estimates and projections.

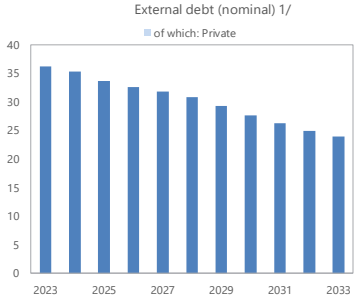
Table 1. Côte d'Ivoire: External Debt Sustainability Framework, Baseline Scenario, 2020–43

(Percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
External debt (nominal) 1/	**31.4**	**32.2**	**35.8**	**36.2**	**35.3**	**33.6**	**32.5**	**31.8**	**30.8**	**24.0**	**19.2**	**22.9**	**30.2**
of which: public and publicly guaranteed (PPG)	**31.4**	**32.2**	**35.8**	**36.2**	**35.3**	**33.6**	**32.5**	**31.8**	**30.8**	**24.0**	**19.2**	**22.9**	**30.2**
Change in external debt	4.2	0.7	3.7	0.3	-0.9	-1.7	-1.1	-0.7	-1.0	-1.0	-0.6		
Identified net debt-creating flows	**3.1**	**1.7**	**9.0**	**5.2**	**4.2**	**3.4**	**3.1**	**3.1**	**3.2**	**4.2**	**6.6**	**2.3**	**3.7**
Non-interest current account deficit	**2.1**	**2.9**	**5.8**	**4.6**	**3.2**	**2.1**	**1.8**	**1.8**	**1.8**	**2.4**	**4.1**	**1.6**	**2.3**
Deficit in balance of goods and services	-0.9	-0.1	2.8	1.8	0.4	-0.6	-1.1	-1.1	-1.3	-1.0	0.6	**-1.2**	**-0.7**
Exports	21.0	22.6	24.8	24.1	24.9	24.9	24.8	24.6	24.5	22.4	19.5		
Imports	20.1	22.5	27.6	25.8	25.3	24.3	23.7	23.5	23.3	21.4	20.1		
Net current transfers (negative = inflow)	1.1	0.9	1.0	0.9	0.9	0.9	0.9	0.9	0.9	0.9	0.9	**0.9**	**0.9**
of which: official	-0.1	0.0	-0.4	-0.4	-0.4	-0.2	-0.1	-0.1	0.0	0.0	0.0		
Other current account flows (negative = net inflow)	1.9	2.0	2.1	2.0	1.9	1.8	2.0	2.1	2.2	2.5	2.6	**1.9**	**2.2**
Net FDI (negative = inflow)	**1.1**	**1.5**	**1.4**	**1.5**	**2.0**	**2.1**	**2.1**	**2.1**	**2.1**	**2.4**	**2.9**	**1.1**	**2.1**
Endogenous debt dynamics 2/	**-0.1**	**-2.7**	**1.8**	**-0.9**	**-1.1**	**-0.8**	**-0.9**	**-0.8**	**-0.8**	**-0.6**	**-0.5**		
Contribution from nominal interest rate	1.1	1.1	1.0	1.1	1.1	1.2	1.1	1.0	1.0	0.7	0.6		
Contribution from real GDP growth	-0.2	-2.0	-2.2	-2.0	-2.1	-2.1	-2.0	-1.8	-1.8	-1.3	-1.0		
Contribution from price and exchange rate changes	-0.9	-1.8	3.0	...	...	...	...	...	...	...	...		
Residual 3/	**1.1**	**-1.0**	**-5.3**	**-4.9**	**-5.0**	**-5.0**	**-4.2**	**-3.8**	**-4.2**	**-5.1**	**-7.2**	**0.1**	**-4.8**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**31.4**	**31.5**	**30.5**	**28.7**	**27.5**	**26.8**	**25.9**	**19.8**	**16.0**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**126.4**	**130.7**	**122.6**	**115.2**	**110.6**	**108.7**	**105.4**	**88.5**	**82.2**		
PPG debt service-to-exports ratio	**8.4**	**8.9**	**9.0**	**11.5**	**14.2**	**14.6**	**12.5**	**10.8**	**11.4**	**11.4**	**8.7**		
PPG debt service-to-revenue ratio	**12.3**	**13.1**	**15.1**	**17.5**	**21.6**	**21.4**	**17.7**	**14.9**	**15.5**	**13.6**	**8.2**		
Gross external financing need (Million of U.S. dollars)	3121.8	4604.8	6646.2	7060.7	7609.0	7396.0	7230.0	7293.3	8080.3	12850.2	32164.5		
Key macroeconomic assumptions													
Real GDP growth (in percent)	0.9	7.4	6.7	6.4	6.5	6.4	6.3	6.1	6.0	5.8	5.6	**6.8**	**6.1**
GDP deflator in US dollar terms (change in percent)	3.5	6.1	-8.5	6.3	2.9	2.3	2.2	1.6	1.6	2.0	2.0	**0.1**	**2.4**
Effective interest rate (percent) 4/	4.1	4.1	3.1	3.6	3.3	3.8	3.5	3.4	3.4	3.2	3.1	**3.9**	**3.4**
Growth of exports of G&S (US dollar terms, in percent)	-4.1	22.7	7.4	9.7	13.1	9.1	8.2	7.0	7.3	5.8	6.6	**3.3**	**7.7**
Growth of imports of G&S (US dollar terms, in percent)	-1.7	27.9	19.6	5.9	7.1	4.8	5.9	6.7	6.7	6.4	5.5	**5.5**	**6.2**
Grant element of new public sector borrowing (in percent)	...	...	...	16.3	17.7	19.5	20.4	18.2	17.3	16.0	17.9	**...**	**17.1**
Government revenues (excluding grants, in percent of GDP)	14.4	15.3	14.8	15.8	16.3	16.9	17.5	17.8	18.0	18.7	20.4	**13.9**	**17.7**
Aid flows (in Million of US dollars) 5/	336.3	333.1	375.5	1412.5	1217.3	1141.2	1145.5	1220.3	1267.0	775.7	425.0		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	1.7	1.3	1.1	1.0	0.9	0.8	0.6	0.3	**...**	**0.9**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	24.6	25.3	27.0	26.9	25.4	24.8	21.8	17.9	**...**	**24.1**
Nominal GDP (Million of US dollars)	63,074	71,849	70,180	79,348	86,924	94,646	102,800	110,835	119,361	175,361	369,313		
Nominal dollar GDP growth	4.4	13.9	-2.3	13.1	9.5	8.9	8.6	7.8	7.7	7.9	7.7	**6.8**	**8.7**
Memorandum items:													
PV of external debt 7/	...	...	31.4	31.5	30.5	28.7	27.5	26.8	25.9	19.8	16.0		
In percent of exports	...	...	126.4	130.7	122.6	115.2	110.6	108.7	105.4	88.5	82.2		
Total external debt service-to-exports ratio	8.4	8.9	9.0	11.5	14.2	14.6	12.5	10.8	11.4	11.4	8.7		
PV of PPG external debt (in Million of US dollars)			22023.7	24985.8	26499.1	27172.4	28229.6	29681.6	30878.5	34710.6	59112.1		
(PVt-PVt-1)/GDPt-1 (in percent)				4.2	1.9	0.8	1.1	1.4	1.1	0.7	0.7		
Non-interest current account deficit that stabilizes debt ratio	-2.1	2.1	2.2	4.3	4.1	3.7	2.9	2.5	2.8	3.3	4.7		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	Yes





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

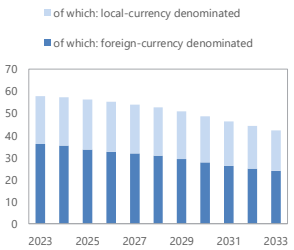
Table 2. Côte d'Ivoire: Public Sector Debt Sustainability Framework, Baseline Scenario, 2020–43

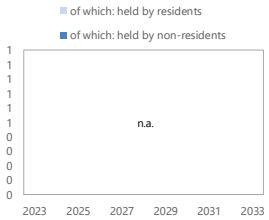
(Percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
Public sector debt 1/	**48.1**	**52.1**	**58.1**	**57.7**	**57.3**	**56.3**	**55.1**	**53.8**	**52.6**	**42.3**	**31.2**	**37.9**	**51.4**
of which: external debt	**31.4**	**32.2**	**35.8**	**36.2**	**35.3**	**33.6**	**32.5**	**31.8**	**30.8**	**24.0**	**19.2**	**22.9**	**30.2**
Change in public sector debt	8.3	4.0	5.9	-0.3	-0.4	-1.0	-1.1	-1.4	-1.2	-1.9	-0.8		
Identified debt-creating flows	**2.4**	**2.9**	**3.7**	**-0.4**	**-0.9**	**-1.5**	**-1.3**	**-1.2**	**-1.1**	**-1.3**	**-0.4**	**1.0**	**-1.2**
Primary deficit	**3.6**	**3.0**	**4.6**	**2.8**	**1.8**	**0.6**	**0.8**	**0.7**	**0.8**	**-0.3**	**0.3**	**1.9**	**0.6**
Revenue and grants	15.0	15.8	15.3	16.5	16.7	17.2	17.8	18.1	18.2	18.8	20.4	**14.7**	**18.0**
of which: grants	0.5	0.5	0.5	0.7	0.5	0.4	0.3	0.3	0.3	0.2	0.0		
Primary (noninterest) expenditure	18.6	18.8	19.9	19.3	18.4	17.8	18.5	18.8	19.0	18.6	20.7	**16.7**	**18.6**
Automatic debt dynamics	**-1.2**	**-0.1**	**-0.6**	**-3.2**	**-2.6**	**-2.2**	**-2.1**	**-2.0**	**-1.9**	**-1.0**	**-0.7**		
Contribution from interest rate/growth differential	1.0	-3.0	-3.8	-3.2	-2.6	-2.2	-2.1	-2.0	-1.9	-1.0	-0.7		
of which: contribution from average real interest rate	1.3	0.3	-0.5	0.3	0.9	1.3	1.2	1.2	1.1	1.4	1.0		
of which: contribution from real GDP growth	-0.4	-3.3	-3.3	-3.5	-3.5	-3.4	-3.3	-3.2	-3.0	-2.4	-1.7		
Contribution from real exchange rate depreciation	-2.2	2.9	3.2	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**-0.3**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.1**	**0.0**
Privatization receipts (negative)	0.0	0.0	-0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**6.0**	**1.2**	**2.2**	**0.0**	**0.4**	**0.5**	**0.2**	**-0.2**	**-0.1**	**-0.6**	**-0.4**	**2.3**	**-0.2**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**53.5**	**52.9**	**52.4**	**51.3**	**50.1**	**48.8**	**47.7**	**38.1**	**28.1**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**349.3**	**321.5**	**314.3**	**298.3**	**282.0**	**269.8**	**261.4**	**202.4**	**137.4**		
Debt service-to-revenue and grants ratio 3/	**32.4**	**32.8**	**41.5**	**42.3**	**49.1**	**47.3**	**37.3**	**31.9**	**28.5**	**19.9**	**12.1**		
Gross financing need 4/	8.4	8.1	10.6	9.8	9.9	8.8	7.4	6.5	6.0	3.5	2.8		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	0.9	7.4	6.7	6.4	6.5	6.4	6.3	6.1	6.0	5.8	5.6	**6.8**	**6.1**
Average nominal interest rate on external debt (in percent)	4.1	3.9	3.3	3.5	3.3	3.8	3.5	3.4	3.4	3.2	3.1	**3.9**	**3.4**
Average real interest rate on domestic debt (in percent)	4.6	3.1	2.7	2.0	2.8	3.2	3.3	3.4	3.4	3.5	3.7	**3.3**	**3.2**
Real exchange rate depreciation (in percent, + indicates depreciation)	-7.9	10.0	11.1	...	...	...	...	...	...	...	...	**3.1**	**...**
Inflation rate (GDP deflator, in percent)	1.5	2.3	2.8	2.9	2.3	2.0	2.0	2.0	2.0	2.0	2.0	**1.8**	**2.1**
Growth of real primary spending (deflated by GDP deflator, in percent)	19.1	8.6	13.2	3.0	1.9	3.0	10.5	7.6	7.1	6.6	10.7	**10.0**	**5.5**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-4.7	-1.1	-1.3	3.2	2.2	1.7	1.9	2.1	2.0	1.6	1.1	**-2.4**	**2.0**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**Yes**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government plus social security, central bank, government-guaranteed debt . Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Côte d'Ivoire: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2023–33

(Percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of debt-to GDP ratio											
Baseline	31	30	29	27	27	26	24	23	22	21	20
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	31	29	27	25	23	21	19	17	15	13	11
B. Bound Tests											
B1. Real GDP growth	31	32	31	30	29	28	26	25	23	22	21
B2. Primary balance	31	31	32	31	31	30	28	27	25	24	23
B3. Exports	31	34	39	37	36	35	33	31	29	27	26
B4. Other flows 3/	31	31	29	28	27	27	25	24	22	21	20
B5. Depreciation	31	38	34	32	31	30	29	27	26	24	23
B6. Combination of B1-B5	31	35	33	31	31	30	28	26	25	23	22
C. Tailored Tests											
C1. Combined contingent liabilities	31	35	35	34	34	33	31	29	28	27	26
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	31	32	31	31	31	30	29	27	26	24	24
C4. Market Financing	31	35	34	32	32	31	29	27	26	24	23
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio											
Baseline	131	123	115	111	109	105	101	97	94	90	88
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	131	117	106	99	94	87	80	72	64	56	48
B. Bound Tests											
B1. Real GDP growth	131	123	115	111	109	105	101	97	94	90	88
B2. Primary balance	131	126	129	126	125	121	117	113	109	105	103
B3. Exports	131	165	**214**	**206**	**202**	**196**	**190**	**182**	173	164	158
B4. Other flows 3/	131	124	118	114	112	108	104	100	96	92	90
B5. Depreciation	131	123	108	103	102	99	95	90	87	85	83
B6. Combination of B1-B5	131	153	121	147	145	140	135	129	124	120	117
C. Tailored Tests											
C1. Combined contingent liabilities	131	141	140	138	136	133	129	124	120	116	114
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	131	127	126	124	125	123	119	115	111	107	105
C4. Market Financing	131	127	122	117	116	112	108	103	98	95	93
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio											
Baseline	11	14	15	13	11	11	13	14	13	13	11
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	11	15	15	13	11	11	13	13	12	12	10
B. Bound Tests											
B1. Real GDP growth	11	14	15	13	11	11	13	14	13	13	11
B2. Primary balance	11	14	15	13	12	12	14	15	14	14	13
B3. Exports	11	**17**	**21**	**19**	**17**	**18**	**20**	**22**	**23**	**23**	**20**
B4. Other flows 3/	11	14	15	13	11	11	13	14	13	13	12
B5. Depreciation	11	14	15	12	11	11	13	13	12	12	11
B6. Combination of B1-B5	11	**16**	**19**	**16**	14	15	**17**	**18**	**17**	**17**	**15**
C. Tailored Tests											
C1. Combined contingent liabilities	11	14	**15**	13	12	12	14	15	14	14	12
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	11	15	**15**	14	12	13	15	**15**	**15**	15	13
C4. Market Financing	11	14	**15**	13	12	14	**16**	**16**	14	13	12
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio											
Baseline	18	**22**	**21**	18	15	16	17	17	16	16	14
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	18	**22**	**22**	**18**	15	16	18	17	16	15	12
B. Bound Tests											
B1. Real GDP growth	18	**22**	**23**	**19**	16	17	**19**	**19**	18	17	15
B2. Primary balance	18	**22**	**22**	**19**	16	17	**18**	**19**	**18**	17	15
B3. Exports	18	**22**	**23**	**20**	17	18	**19**	**20**	**21**	**20**	18
B4. Other flows 3/	18	**22**	**22**	18	15	16	17	18	17	16	14
B5. Depreciation	18	**27**	**27**	**22**	**18**	**19**	**21**	**22**	**20**	**19**	16
B6. Combination of B1-B5	18	**23**	**24**	**20**	17	17	**19**	**20**	**19**	18	15
C. Tailored Tests											
C1. Combined contingent liabilities	18	**22**	**23**	**19**	16	17	**19**	**19**	18	17	15
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	18	**28**	**28**	**24**	**19**	**19**	**20**	**20**	**19**	**18**	16
C4. Market Financing	18	**22**	**22**	**19**	16	**19**	**22**	**21**	**18**	16	14
Threshold	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Côte d'Ivoire: Sensitivity Analysis for Key Indicators of Public Debt, 2023–33

(Percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of Debt-to-GDP Ratio											
Baseline	53	52	51	50	49	48	46	44	42	40	38
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	53	53	53	52	52	51	51	50	50	49	48
B. Bound Tests											
B1. Real GDP growth	53	**55**	**57**	**57**	**57**	**57**	**56**	55	53	52	51
B2. Primary balance	53	54	**56**	55	53	52	50	48	46	43	42
B3. Exports	53	**56**	**61**	**59**	**58**	**56**	54	52	49	46	44
B4. Other flows 3/	53	53	52	51	49	48	47	45	42	40	39
B5. Depreciation	53	**59**	**56**	53	50	48	45	41	38	35	32
B6. Combination of B1-B5	53	52	53	51	50	48	47	44	42	39	37
C. Tailored Tests											
C1. Combined contingent liabilities	53	**61**	**59**	**58**	**56**	55	53	51	48	46	44
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	53	**57**	**61**	**65**	**68**	**70**	**70**	**68**	**66**	**64**	**63**
C4. Market Financing	53	54	53	52	50	49	48	45	43	41	39
TOTAL public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	321	314	298	282	270	261	249	235	223	212	202
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	321	316	306	294	286	281	274	268	264	260	257
B. Bound Tests											
B1. Real GDP growth	321	329	331	320	313	310	302	292	284	277	272
B2. Primary balance	321	323	326	307	294	284	271	256	243	231	221
B3. Exports	321	336	353	333	319	308	294	277	261	245	232
B4. Other flows 3/	321	317	303	286	274	265	253	239	226	214	205
B5. Depreciation	321	354	326	299	278	262	242	222	204	186	172
B6. Combination of B1-B5	321	310	308	289	275	265	252	236	222	210	199
C. Tailored Tests											
C1. Combined contingent liabilities	321	365	344	324	310	300	286	270	257	244	234
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	321	433	447	456	438	421	394	362	352	342	334
C4. Market Financing	321	321	308	292	279	271	258	242	229	217	207
Debt Service-to-Revenue Ratio											
Baseline	42	49	47	37	32	28	29	26	24	22	20
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	42	49	48	41	36	33	33	32	32	32	31
B. Bound Tests											
B1. Real GDP growth	42	51	53	44	39	36	37	35	34	32	30
B2. Primary balance	42	49	51	46	37	32	31	28	27	25	23
B3. Exports	42	49	48	39	34	30	30	29	29	26	24
B4. Other flows 3/	42	49	47	37	32	29	29	26	25	23	20
B5. Depreciation	42	49	52	41	35	32	33	30	28	26	23
B6. Combination of B1-B5	42	48	47	42	33	29	29	26	24	22	20
C. Tailored Tests											
C1. Combined contingent liabilities	42	49	70	48	37	32	31	28	27	24	22
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	42	63	75	70	63	56	52	45	41	40	38
C4. Market Financing	42	49	48	38	33	32	33	29	26	23	20

Sources: Country authorities; and staff estimates and projections.

1/ A bold value indicates a breach of the benchmark.

2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.

3/ Includes official and private transfers and FDI.